1 The Theory of Copyright Exhaustion

1.1 Balance in Copyright Law

Law is a fiction.[1] Copyright law is an excellent example of legal fictions. All its norms, definitions, doctrines – e.g., creativity, originality, personality, economic and moral rights, limitations, and exceptions, to name a few – are created and regularly re-created by human minds to serve metaphorical purposes.[2] At the same time, copyright law is not a limitless fiction. It has its historical roots, development, subjects, objects, purposes, and limits. The ultimate question of copyright law, then, is nothing else than *why, to whom, and to what extent do laws assign copyright protection?*[3]

Copyright law is closely related to the values and norms of natural law, yet the exclusive rights of the authors, and their limitations and exceptions, have always been set by the artificial rules recognized and granted by the legislature. The goal of the first Copyright Act, the English Statute of Anne adopted in 1709, was to place the protective emphasis on the authors, by abolishing the printing monopoly and the censorship practices of the Stationer's Company.[4]

Since 1709, copyright law has gradually been extended to include new subject matter and new beneficiaries. This widening reflects a change in societal needs and is, undoubtedly, a response to increasingly innovative technology. Copyright law is also designed to protect cultural interests and to promote a steady supply of cultural products in the public interest. In order to achieve this delicate balance between rightholders and

[1] On legal fictions see Fuller (1967); Del Mar and Twining (2015). On legal fictions and copyright law see especially Ng Boyte (2014) 707–762.

[2] On metaphors and law see especially Larsson (2017); Gill (2018).

[3] This book aims to use copyright law as a term to describe authors' rights, related rights, and *sui generis* protection. Wherever necessary, these terms/categories will be clearly separated.

[4] Matthews (1890) 589–590. The Stationers' Company did not have a full monopoly. Separate printing patents were issued to individuals to publish specific works. See Atkinson and Fitzgerald (2014) 21; Gadd (2016) 88; Yu (2016) 67.

society, and to prevent a return to absolute monopolies, exclusive rights are subject to limitations. The extent and form of these limitations have varied over time and between jurisdictions. The difficulty is in deciding the boundaries of copyright protection, in a manner that maintains the economic and moral incentives to authors, while at the same time ensuring society is not deprived of the appropriate access to culturally important goods and knowledge.

This pursuit of balance is well illustrated by the intellectual property clause (IP clause) included in the US Constitution, which states that "Congress shall have Power To […] promote the Progress of Science and useful Arts, by securing for limited Times to Authors and Inventors the exclusive Right to their respective Writings and Discoveries."[5] Commentators have confirmed that the main purpose of the US federal copyright law is not only to reward authors but also to encourage cultural advancements by incentivizing authors to create.[6] Judicial practice of the IP clause provides stark evidence that the boundary line for where this balancing act takes place is constantly changing.[7]

This balance can be guaranteed by limitations and exceptions to economic rights,[8] including but not limited to the term of protection,[9] the geographical limits,[10] statutory and mandatory licenses, collective rights management, free uses (including fair use and fair dealing), the merger doctrine, and the idea/expression dichotomy. Alternatively, a technology-neutral application of the copyright norms can help in achieving this balance.[11]

5 US Constitution, Art. I, section 8, clause 8.

6 Donohue (1986) 192–193. The US Supreme Court has noted in *Mazer v. Stein* that "the economic philosophy behind the clause empowering Congress to grant patents and copyrights is the conviction that encouragement of individual effort by personal gain is the best way to advance public welfare through the talents of authors and inventors in 'Science and Useful Arts.'" See *Mazer, et al. v. Stein, et al.*, 347 US 201 (1954) 219.

7 Regarding the development of the IP clause, see Joyce and Patterson (2003) 909–952; Oliar (2006) 1771–1845; Patterson et al. (2009) 241–242; Breagelmann (2009) 104–105; Hess (2013) 1970–1971, 1982–1984; O'Connor (2015) 733–830; Bracha (2016) 342–345.

8 See Geiger (2004) 818–819 for the differences between limitations and exceptions.

9 Both in the US and the EU, the copyright term has been greatly expanded in recent decades. See the Sonny Bono Copyright Term Extension Act, Pub. L. No. 105–298, 112 Stat. 2827 and the Copyright Term Directive. The EU and the US also include a longer term of protection in the free trade agreements concluded with developing nations. See Woods (2009) 362.

10 Territorial copyright laws tend to limit the proper functioning of cross-border services. The overruling of the concept of territoriality is thus one of the most interesting topics of copyright law in the European Union. See SEC (2012) 680, 4.

11 On the importance of a technology-neutral copyright system, see in general Hofmann (2016) 482–512.

Another doctrine that attempts to balance competing interests is exhaustion. It sets limitations for the author's exclusive right of distribution, along the ownership interests of lawful acquirers of copies of protected subject matter.[12] According to Friedrich-Karl Beier, "the principle of exhaustion is nothing more than a figurative expression for the simple legal idea that once genuine goods have been marketed, subsequent distribution should not be impeded by [IPR] actions."[13]

This doctrine, which came into existence in the analog world at the turn of the twentieth century, faces challenges with the advent of digital technology and more specifically the exponential development of the Internet.[14] The increasing prevalence of online stores that resell used music, e-books, or software poses serious questions, such as whether the doctrine of exhaustion can be applied to digital content. The need to establish balance in the digital domain requires clarification on the differences between license and sale, the transformation of economic rights (communication to the public versus distribution), or even a redefined concept of property.[15]

1.2 The Conceptual Elements of Copyright Exhaustion

Exhaustion was harmonized on a general level by the InfoSoc Directive of the EU and is formulated in the following terms:

> [t]he distribution right shall not be exhausted within the Community in respect of the original or copies of the work, except where the first sale or other transfer of ownership in the Community of that object is made by the rightholder or with his consent.[16]

Similarly, the US Copyright Act 1976 (USCA) defines the first-sale doctrine as follows:

> [n]otwithstanding the provisions of section 106(3), the owner of a particular copy or phonorecord lawfully made under this title, or any person authorized by such owner, is entitled, without the authority of the copyright owner, to sell or otherwise dispose of the possession of that copy or phonorecord.[17]

In light of these norms, the following four elements might be recognized as the conceptual basis for the doctrine of exhaustion:

1 the rightholder or another authorized person
2 lawfully distributes and thus transfers the ownership over

[12] De la Durantaye and Kuschel (2016) 209.
[13] Quoted by Schovsbo (2010) 171.
[14] Peifer (2006) 2–3.
[15] A great example is the Canadian court decision that declared the .ca domain as subject to personal property. See Carrington (2014) 81.
[16] InfoSoc Directive, Art. 4(2).
[17] USCA §109(a).

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3 the original or a copy of a protected subject matter and
4 the lawful owner may resell the copy without the rightholder's permission.[18]

The first conceptual element is commonly known as the doctrine of consent.[19] It clearly indicates that the first distribution needs to be initiated by, or with the consent of, the original or any successive rightholder (e.g., wholesalers, retailers, distributors, agents).[20] It is part of this conceptual element that rightholders must have the opportunity to demand appropriate remuneration for the transfer of ownership over the copy of the protected subject matter.[21]

The second doctrinal element sets forth that the ownership interests over the given object shall be lawfully transferred. The distribution should take place in accordance with the provisions of the copyright law. Therefore, exhaustion should not apply to counterfeit or pirated products or to copies distributed illegally, e.g., copies acquired through theft.[22] The same applies to copies produced or distributed in violation of a license, e.g., contrary to the provisions on quantity or time limitations, as well as to copies manufactured by the publisher but not distributed with transfer of title (i.e., copies that remain in stock).[23] Furthermore, exhaustion applies only to copies made available to the public with the transfer of ownership,[24] or, as Raymond Nimmer stated, via the "first authorized disposition by which title passes."[25] Thus, rental lending or leasing, along with any other service-like forms of dissemination[26] (public performance, communication to the public, broadcasting, and simultaneous retransmission),[27] won't effectuate exhaustion. Similarly, offering a copy for trial purchase,[28] transferring a copy to another person with reservation of title of ownership,[29] or simply placing counterfeit products of copyrighted furniture into the window of a shop[30]

18 Nimmer and Nimmer (2013) §8.12[B][1][a].
19 Tritton (2002) 470–471.
20 Dreier and Schulze (2013) §17 Rn. 31.
21 Schack (2005) 181; Dreier and Schulze (2013) §17 Rn. 25.
22 *United States v. Belmont et al.*, 715 F.2d 459 (1983), cert. denied, 465 US 1022 (1984); *Paul Edmond Dowling v. United States*, 473 US 207 (1985); *Microsoft Corp. v. Software Wholesale Club, Inc.*, 129 F.Supp.2d 995 (2000).
23 Loewenheim (2010) §20 Rn. 38.
24 Ibid., Rn. 36; Karmel (2012) 361–368.
25 Nimmer and Nimmer (2013) §8.12[B][1][a].
26 See expressly in Recital (2) of the InfoSoc Directive.
27 Compare to the *Coditel I* and *Coditel II* rulings of the ECJ.
28 BGH 7.6.2001 (I ZR 21/99) 1036–1038; OLG Frankfurt am Main 22.12.2016 (11 U 108/13) 512–517.
29 Loewenheim (2010) §20 Rn. 36; Dreier and Schulze (2013) §17 Rn. 25.
30 *Peek & Cloppenburg KG v. Cassina SpA*, Case C-456/06, ECLI:EU:C:2008:232, paras. 35–36.

would not fall within the scope of distribution. In contrast, a gift[31] or trade is deemed to be a distribution and accordingly exhaustion also applies to the copies affected. In sum, on the one hand, the rightholder has the privilege to set the initial purchase price of the given copy, and hence set the "reward" it deems fair consideration for the transfer. On the other hand, the rightholder might decide to transfer the ownership of the copy free of charge. In the latter situation, let's recall the Ed Sheeran example presented in the Introduction; it cannot object to a later resale of the copy by the lawful acquirer against consideration. Finally, copies made under or in compliance with some limitations and exceptions, e.g., under mechanical/compulsory licenses or remuneration library uses,[32] might also serve as a ground for redistribution.

It is also relevant whether the author may contractually limit the conditions of distribution. It is generally accepted that the rightholder should have the right to contractually limit the conditions (e.g., the retail price, the time frame, the geographical scope, or the channels) of the initial distribution.[33] The rightholder, however, is not entitled to contractually exclude future distributions. The only exception to this rule is related to the geographical scope of exhaustion. The EU implements a policy of regional exhaustion, whereas certain countries apply exhaustion with a scope limited to their own national territory. In both systems, copies originally put into circulation outside of the borders of the given country, or of any member of the European Economic Area (EEA), may also be contractually banned from being imported into the territory of the given country or the whole EEA.[34] In countries where international

[31] *Walt Disney Productions v. John Basmajian and Christie, Manson & Woods International, Inc.*, 600 F.Supp. 439 (1984); *UMG Recordings, Inc. v. Troy Augusto*, 558 F.Supp.2d 1055 (2008); *Stern v. Lavender*, 319 F.Supp.3d 650 (2018). See further Kernochan (1989) 1410.

[32] Kernochan (1989) 1415–1416; Trimble (2016) 467–470.

[33] Loewenheim (2010) §20 Rn. 39; Walter and von Lewinski (2010) 135, para. 5.4.34, and 999–1000, paras. 11.4.22–11.4.24; Hovenkamp (2011) 497–498; Dreier and Schulze (2013) §17 Rn. 32, 38–40; Katz (2014) 62. The US Congress accepted the same argument when passing the USCA: "[t]his does not mean that conditions on future disposition of copies or phonorecords, imposed by a contract between their buyer and seller, would be unenforceable between the parties as a breach of contract, but it does mean that they could not be enforced by an action for infringement of copyright." See H.R. Rep. (1976) 79. Compare to Patry (1994) 846. Dutch and Swiss academia take the opposite view and refuse such contractual freedom of the rightholder. Compare to Rigamonti (2009) 16; Guibault and van't Klooster (2012) 705; Verkade (2012) 302–303.

[34] Schack (2005) 182; Loewenheim (2010) §20 Rn. 39; Dreier and Schulze (2013) §17 Rn. 35–37. Vice versa: under regional exhaustion, copies put into circulation within the EEA have "extraterritorial" effects – that is, such copies effectuate the application of the

exhaustion applies, contractual stipulations that limit importation to the territory of the given country are void.

The third element of the doctrine stipulates that the originally acquired object must always be the subject of resale. A lawful purchaser may "reinterpret" the copy so long as it does not run against the adaptation right. A German judgment found the reuse of postcards on packaging of chocolate boxes to be covered by exhaustion.[35] Similar decisions are found in Dutch[36] and US[37] case law. In contrast, the European Court of Justice (ECJ) has noted that exhaustion does not apply to transformation-like uses where the source work is reproduced or transferred to another tangible medium (e.g., from a paper poster to canvas).[38]

The fourth conceptual element requires that the initial and any subsequent lawful acquirer can transfer the ownership interest over the object to any other person. Service-type uses are specifically excluded. This element also guarantees that lawful owners cannot rely on exhaustion if their ownership interest over the copy is not terminated by the resale, e.g., if the work is multiplied before being resold. Some countries, e.g., the US[39] or various Member States of the EU,[40] allow for the exhaustion of public display right as well.

All things considered, the rightholder must accept that copies, or the originals of copyrighted works and other subject matter lawfully placed into circulation by or with the authorization of the rightholder, through sale or in any other form of transfer of ownership, are subsequently

exhaustion in other EEA members as well. This was confirmed by the German Federal Supreme Court as well. See BGH 16.06.1994 (I ZR 24/92) 799.

35 KG 26.1.2001 (5 U 4102/99) 125–126. Compare to Loewenheim (2010) §20 Rn. 40; Dreier and Schulze (2013) §17 Rn. 28.

36 The *Poortvliet* case is introduced below. Compare to Chapter 2, note 43 and the accompanying text.

37 *Scarves by Vera Inc. v. American Handbags Inc.*, 188 F.Supp. 255 (1960); *Elisa Allison, et al., v. Vintage Sports Plaques, et al.*, 136 F.3d 1443 (1998) 1447–1449. On the latter decision, see Choderker (1998–1999) 431–443. To the contrary: if the original authorization to sell the products containing the likeness of public figures was missing, the resale of those copies will similarly be tortious (under states laws). See *Herbert S. Zim v. Western Publishing Company*, 573 F.2d 1318 (1978); *Christie Brinkley v. John Casablancas, et al.*, 438 N.Y.S.2d 1004 (1981); *Genesis Publications, Inc., et al., v. Anne C. Goss*, 437 So.2d 169 (1983), *cert. denied*, 449 So.2d 264 (1984).

38 *Art & Allposters International BV v. Stichting Pictoright*, Case C-419/13, ECLI:EU:C:2015:27.

39 USCA §109(c).

40 E.g., Finnish Copyright Act (Act 404/1961) section 20; Hungarian Copyright Act (Act LXXVI of 1999) Art. 69(2). These Acts do not *expressis verbis* mention the term "exhaustion"; however, they regulate the free display of lawfully acquired copies of works by their lawful owners.

distributed by the lawful owner of those copies or originals. For that purpose, the rightholder shall set the reward that it deems fair for the initial distribution transfers. (Alternatively, the rightholder is allowed to transfer the ownership interest over the copy free of charge.)

1.3 Policy Considerations of Copyright Exhaustion

The doctrine of exhaustion seeks to secure a balance between the divergent interests of society and is based on three primary policy objectives: the superiority of property rights over copyrights, the reward theory, and the restraint of rightholders over market control.[41]

Following several centuries of dispute, it is now accepted that property rights of lawful acquirers take precedence over copyrights, if it comes to the tangible copies of protected subject matter.[42] The US House of Representatives stated, after the enactment of the USCA, that "the copyright owner's exclusive right of public distribution would have no effect upon anyone who owns 'a particular copy or phonorecord lawfully made under this title' and who wishes to transfer it to someone else or to destroy it."[43]

The superiority of property rights gained further reinforcement with the reward theory. According to the reward theory, the rightholder is able to freely set the initial purchase price of copies of their work, as fair reward for the transfer of ownership, although the rightholder is not entitled to any further reward related to subsequent acts of distribution.[44] The reward theory has recently been extended by the ECJ to include the digital domain. In *UsedSoft*, the court noted that exhaustion might apply "if the first sale of the copy of work concerned enabled the above stated rightholder to acquire a just reward."[45]

Both of the aforementioned policy considerations closely relate to the third, namely, that the rightholder does not have and, in the sense of competition law, should not have the ability to exercise full control over the secondary market.[46] Exhaustion ensures that rightholders cannot

[41] See Puig (2013) 162–170 regarding these three policy considerations and their erosion.

[42] *Paul Edmond Dowling v. United States*, 473 US 207 (1985) 216–217; Schricker (2006) 33–43; Loughlan (2007) 402; Rehbinder (2008) 2; Wenzel and Burkhardt (2009) 22–23; Fagundes (2010) 652–705.

[43] H.R. Rep. (1976) 79.

[44] The UrhG that codified exhaustion for the first time in Germany designated the reward theory as the leading policy consideration of the principle. Compare to Walter and von Lewinski (2010) 135, note 226. On the *Belohnungstheorie*, see further Reimer (1972) 225–226; Röttinger (1993) 94; Puig (2013) 162.

[45] *UsedSoft v. Oracle* (2012) para. 63.

[46] Schack (2005) 180; Targosz (2010) 343; Karapapa (2020) 488–489.

control all forms of distribution and thus precludes the emergence of absolute monopolies. This anticompetition policy argument can be traced effectively in the EU, where the acceptance of the doctrine of exhaustion shares a causal relationship with the intention of strengthening the internal market and protecting the free movement of goods.

Indeed, in *Théberge*, the Supreme Court of Canada took a similar stance against absolute control by rightholders, with the court noting that

> [t]he proper balance among these and other public policy objectives lies not only in recognizing the creator's rights but in giving due weight to their limited nature. In crassly economic terms it would be as inefficient to overcompensate artists and authors for the right of reproduction as it would be self-defeating to undercompensate them. Once an authorized copy of a work is sold to a member of the public, it is generally for the purchaser, not the author, to determine what happens to it. Excessive control by holders of copyrights and other forms of intellectual property may unduly limit the ability of the public domain to incorporate and embellish creative innovation in the long-term interests of society as a whole, or create practical obstacles to proper utilization.[47]

It is important to note, however, that Francophone countries, such as France and Belgium, provided rightholders with far wider rights concerning the fate of copies. According to the doctrine of *droit de destination*, rightholders could have controlled any subsequent distributions of the copies, even if the latter had been initiated by the lawful acquirers.[48] This point will be revisited later, when it is shown how this Francophone concept was subsequently overruled by the harmonization of the right of distribution within the EU.

These primary policy considerations were further supplemented by a number of secondary, or indirect, considerations.[49] Commentators

[47] *Théberge v. Galerie d'Art du Petit Champlain Inc., et al.*, [2002] 2 S.C.R. 336, 2002 SCC 34, para. 37. On the decision, see Fischman Afori (2007) 25–61; de Beer and Tomkowicz (2009) 12–13; Ghosh (2013) 38–39; Crowne (2015) 802; Billah (2018) 134–135; Racine (2019) 371–373.

[48] According to Desurmont, "the conception of the latter right is very broad in both legislations […] enabling the author to accompany permission to reproduce his work with various conditions and limitations, and thereby to control the conditions governing how the copies produced will be used by third parties." See Desurmont (1987) 20.

[49] On these secondary or indirect policy considerations, see Reese (2003) 585–610; Perzanowski and Schultz (2011) 894–901; Serra (2013) 1774–1781; Puig (2013) 160–162; Shinall (2014) 376; Reis (2015) 189–194; Katz (2014) 109–117; Rub (2015) 773–795; Kerber (2016) 153–156. These considerations were discussed by Advocate General Szpunar in his Opinion in the *Tom Kabinet* case. See: Case C-263/18, *Nederlands Uitgeversverbond and Groep Algemene Uitgevers v. Tom Kabinet Internet BV and Others*, Opinion of Advocate General Szpunar, 10 September 2019, EU:C:2019:697, para. 80–96.

unanimously agree that the mere existence of the doctrine of exhaustion makes it easier to acquire copies, due to their affordability (as it results in the decrease of retail prices) and their availability (as it maintains access to works being permanently or temporarily withdrawn from the primary channels of the market).

In addition, exhaustion supports the preservation of cultural heritage. Research by Deirdre Mulligan and Jason Schultz showed that only 4,267 works, of the 187,280 books published in the US between 1927 and 1946, were available through the customary channels of commerce in 2002.[50] Similar data also showed that only 174 of 10,000 books published in the US in 1930 were still commercially available in 2001.[51] Likewise, only 4 percent of the 157,068 movies registered in the database of Turner Classic Movies were available for home viewing in the US in 2009.[52] Without the doctrine of exhaustion, these contents could have potentially been lost from society forever, after the initial distribution was terminated by the rightholders.

Commentators noted that exhaustion ensures the proper functioning of consumer protection law: e.g., by the transparency of transactions,[53] respecting the privacy of consumers,[54] or guaranteeing that the consumer expectations (based on the language of an agreement) are met.[55] Furthermore, the competition generated by secondary markets triggers more innovation by rightholders. Indeed, any overprotection of copyrights and significant restrictions on secondary markets can chill innovation by users and competitors of rightholders.[56] The doctrine also effectively mitigates against the effects of technological "lock-in" by allowing for a more relaxed enjoyment of works. This is done through decreasing the reliance on the unique formats and channels of access applied by manufacturers, distributors, and aggregators.[57] Exhaustion can ultimately facilitate competition among digital platforms and other service providers.[58] This seems to be plausible in the digital domain but seemed to be a valid claim in the pre-Internet era, too. Aaron

[50] Mulligan and Schultz (2002) 472. [51] Katz (2014) 110. [52] Kaufman (2009).
[53] Hess (2013) 1971–1978; Trampuž (2016) 175–177.
[54] Kerber (2016) 165; Karapapa (2020) 490.
[55] Leistner and Antoine (2018) 159–180; Oprysk (2020) 212; Oprysk and Sein (2020) 596.
[56] Wolfgang Kerber noted that "permitting too far-reaching restrictions in regard to the resale and use of digital copies might stifle and block too much further valuable innovation activities, because then the users/innovators might need too often the consent of the copyright owners." See Kerber (2016) 164.
[57] Region codes used on DVDs are such classic access digital rights management (DRM) controls that lead to the "lock-in" of lawful acquirers of the original DVDs. See further Yu (2012) 187–264.
[58] Kerber (2016) 164.

Perzanowski and Jason Schultz have shown that several years prior to, and following, the codification of the first-sale doctrine in 1909, US courts allowed for the creative reinterpretation or transformation of the purchased copies as well as the creation of new material objects (e.g., rebinding lawfully sold copies of works).[59]

All these policy arguments have their roots in the analog world, prior to the invention of digital technologies and, crucially, the Internet. The drastically altered landscape we face today has prompted certain commentators to reason that the doctrine of exhaustion shall only apply if several supplementary requirements are met. These are as follows: that the copies sold by the rightholder and resold by the acquirers shall not compete (rivalrousness and *Rivalität*), the acquirer of the original copy shall not maintain exclusive control over the copy of the work (excludability and *Exklusivität*), and the quality of the copies shall deteriorate over time (consumability and *Abnutzbarkeit*).[60] It is doubtful whether these requirements can easily be met in the digital age. In light of this, jurisprudence and academia, in several countries, have been reluctant to apply exhaustion to digital content.[61] This book will argue and seek to demonstrate that the doctrine *should* be expanded to the digital environment. Moreover, this book will submit that the three additional requirements may be fulfilled during the resale of digital data.

1.4. The Taxonomy of Copyright Exhaustion

Researchers generally agree that the meaning of exhaustion is the same in all jurisdictions.[62] It is far from settled, however, what the taxonomy of exhaustion is. The number of options might be great, ranging from a "limitation," an "exception," an "exclusion," an "exemption," a "restriction" to an "implied license." Indeed, exhaustion is routinely described as a "doctrine" or a "principle."[63]

International copyright norms are of some, but only minor, help. Most importantly, the Copyright Treaty of the World Intellectual Property Office (WIPO) Copyright Treaty (as well as the WPPT [Phonograms and Performances Treaty]), as will be shown below, includes notable doctrinal elements on the meaning of exhaustion. One of those provisions clarifies that exhaustion is not subject to the three-step test, unlike

[59] Perzanowski and Schultz (2011) 912–922.

[60] Capobianco (2013) 409–413; Zech (2013) 376–377.

[61] Compare to IV.3.3.

[62] Compare to de Beer and Tomkowicz (2009) 3; Pope (2011) 207.

[63] Indeed, the meaning of these terms, in general, is far from settled. See Sirinelli (1999) 2–3.

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"regular" limitations and exceptions. As such, the *a contrario* conclusion might be that exhaustion is neither a limitation nor an exception.

Such a conclusion would be, however, both illogical and baseless. First, exhaustion is purposefully left out of the scope of the three-step test, as it exactly provides for the free resale of a given copy of a work by the lawful owner without the authorization of (and payment to) the rightholder. This is in full compliance with the reward theory's purposes. It therefore seems so that exhaustion and the three-step test are unrelated to each other.

Second, the leading international treaties explicitly left it for the signatories to regulate the substantive meaning of exhaustion. A quick – and certainly not exhaustive – look at various domestic solutions indicate that exhaustion is mainly treated as a "limitation." In the US, the first-sale doctrine is listed as a "limitation on exclusive rights," similarly to the fair use doctrine (which is a flexible concept, having no equivalent in the EU) or library reproductions (which are in close compliance with EU law exceptions and limitations).[64] Some inconsistency exists though, as some commentators treat exhaustion as an "exception."[65]

In the UK, which is no longer a member of the EU, the statutory language indicates that any "subsequent distribution, sale, hiring or loan of copies previously put into circulation," other than rental and lending, is "not included in," that is, it is excluded from, the scope of "issuing copies to the public."[66] Irrespective of the above, some scholarly opinions in the UK (and beyond) highlight that exhaustion roots in the theory of implied license rather than limitations of rights.[67]

The EU directives regulate exhaustion in articles[68] that are distinct from the specific articles on "limitations and exceptions";[69] and, unlike exhaustion, these limitations and exceptions are subject to the three-step test.[70] Nothing bars us, however, from treating exhaustion as a special limitation (dedicated solely to limiting the effects of the right of distribution) under the harmonized EU law as well.

[64] McJohn (2006) 219; Brown and Denicola (2009) 323–324; Yen and Liu (2011) 294; Joyce et al. (2013) 518.
[65] Goldstein and Hugenholtz (2010) 306; Westkamp (2016) 503.
[66] CDPA, Art. 18. Compare to Bently and Sherman (2009) 144.
[67] Hilty (2016) 67; Mysoor (2018) 665–670.
[68] See Software Directive, Article 4(2); Rental, Lending and Related Rights Directive, Article 9(2); Database Directive, Article 5(c); and InfoSoc Directive, Article 4 (2), respectively.
[69] See especially Software Directive, Article 5; Rental, Lending and Related Rights Directive, Article 10; Database Directive, Articles 6 and 9; and InfoSoc Directive, Article 5.
[70] In the EU, see InfoSoc Directive, Article 5(5).

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While the ECJ is silent on the taxonomy of exhaustion, the court's ruling in *Kyocera* might be of some help to us. There, the ECJ argued that the right of reproduction

> may, depending on the circumstances, be either, as an exception, totally excluded, or merely limited. It is conceivable that such a limitation may include, depending on the particular situations that it governs, in part an exclusion, a restriction, or even the retention of that right.[71]

The ECJ expressed this opinion in regard to the right of reproduction and a specific limitation to it (namely, reprography). There is, however, no reason to believe that the categorization of exceptions and limitations as set out above does not apply to other economic rights, e.g., the right of distribution. If so, exhaustion might be correctly treated as a special limitation of the distribution right, as the right to authorize the resales by the rightholder is excluded under certain circumstances. We cannot be certain that this is a correct interpretation. The ECJ's above quote immediately serves as a ground for skepticism. As seen above, "mere" limitations may include in part an exclusion, while exceptions are exclusions (in general). It seems to be unclear how limitations and exceptions be called exclusion at the same time, or where the dividing line lies between "total exclusion" and "an exlusion." Likewise, it's unclear what "restriction" or "retention" practically means in this context. So far, the ECJ has not clarified the differences between these concurring terms, nor do Member States' domestic rules seem to be in full compliance with such categorization.[72] The European academic sources reflect these inconsistencies as well. The majority call exhaustion a "limitation,"[73] but others treat it as a "restriction."[74] Some categorize it inversely: e.g., Dietrich Reimer concluded that "I really don't think that [exhaustion] is a real exception."[75] Indeed, some lessened the role of (trademark) exhaustion by stating that "the principle of exhaustion is nothing more than a figurative expression for the simple legal idea that once genuine goods have been marketed, subsequent distribution should not be impeded by [IPR] actions."[76]

Altogether, while it seems to be almost impossible to find a full compromise in this matter, strong arguments speak in favor of declaring

[71] *Verwertungsgesellschaft Wort (VG Wort) v. Kyocera and Others*, Joined Cases C-457/11 to C-460/11, ECLI:EU:C:2013:426, para. 34.
[72] Pila and Torremans (2019) 321–322.
[73] Röttinger (1993) 60; Schovsbo (2010) 171; Seville (2016) 71; Pila and Torremans (2019) 301.
[74] Walter and von Lewinski (2010) 134, 5.4.33.
[75] Reimer (1982) 367.
[76] Beier (1970) 57.

and treating exhaustion as a "special limitation" to the distribution (and occasionally the display) right under EU law.

Another spin-off question derives from this conclusion. Is exhaustion a "user right," too? The question of whether limitations and exceptions shall be treated as user rights is not a new one. Indeed, comparative research suggests that the domestic laws of various countries follow very different paths in this respect.[77] Most importantly, the ECJ has declared in various preliminary rulings that limitations and exceptions under Article 5 of the InfoSoc Directive represent rights for the benefit of users.[78] The aim of these rules is to provide for a fair balance of users' and rightholders' rights[79] as well as public interests.[80] Furthermore,

> the interpretation of the exceptions and limitations provided for in Article 5 of Directive 2001/29 must allow […] their effectiveness to be to safeguarded and their purpose to be observed, since such a requirement is of particular importance where those exceptions and limitations aim, as do those provided for in Article 5 (3)(c) and (d) of Directive 2001/29, to ensure observance of fundamental freedoms.[81]

Is this conclusion also applicable to exhaustion, which is a special limitation to the right of distribution? If we agree that the ECJ aims to provide for a uniform interpretation of the whole body of the EU copyright law, then we shall also accept that a similar logic applies to exhaustion. This is true even if exhaustion is not covered by Article 5 of the InfoSoc Directive, and the ECJ's case law related to user rights under Article 5 is not directly applicable here.

Exhaustion can be treated as an autonomous concept of EU copyright law. No exact definition is included in the relevant directives, and no reference is made in the interpretation of the doctrine under the Member States' laws. Therefore, there is some space for the independent and uniform (autonomous) interpretation of the term "exhaustion" by the ECJ. When interpreting a rule this way, the ECJ shall determine the doctrine's meaning "by considering their usual meaning in everyday

[77] Compare to Hilty and Nérisson (2012) 16–18.

[78] *Technische Universität Darmstadt v. Eugen Ulmer KG*, Case C-117/13, ECLI:EU:C:2014:2196, para. 43.; *Spiegel Online GmbH v. Volker Beck*, Case C-516/17, ECLI:EU:C:2019:625, para. 54.

[79] *Marc Soulier and Sara Doke v. Premier ministre and Ministre de la Culture et de la Communication*, Case C-301/15, ECLI:EU:C:2016:878, para. 30–31.; *Spiegel Online GmbH v. Volker Beck* (2019) para. 54.

[80] *Land Nordrhein-Westfalen v. Dirk Renckhoff*, Case C-161/17, ECLI:EU:C:2018:634, para. 41.

[81] *Spiegel Online GmbH v. Volker Beck* (2019) para. 55. On "user rights" see, e.g., Snijders and van Deursen (2019) 1176–1190; Synodinou (2019) 20–37; Jütte (2020) 461–484; Borghi (2021) 263–280.

language, while also taking into account the context in which they occur and the purposes of the rules of which they are part."[82]

As the ECJ has not interpreted exhaustion this way yet, the following syllogism is merely theoretical. First, although it would be hard to say what the everyday language meaning of a highly metaphoric expression ("exhaustion") is, it is still evident that it refers to the elapse, inactivity, unavailability of a certain interest (here, the right of exhaustion). Second, the context of exhaustion was – in line with the basic history of the doctrine – to rebalance various interests at stake (here, those of the lawful acquirers and the rightholders). Finally, the purpose of the doctrine is generally covered by the basic policy purposes of exhaustion: the primacy of ownership interests; fair (but not unlimited) reward to rightholders; and the prohibition of market control. In an EU environment, we shall also take into consideration the fundamental freedom of movement of goods as a further purpose of the doctrine.

In light of these, we can simply conclude that exhaustion allows lawful acquirers of copies to enforce the preservation of their ownership interests over the rightholders' distribution right. As such, they might effectively claim that plaintiffs have no legal ground to sue them, as their economic right can no longer be exercised (at least with respect to the original copy in question). Alternatively, users might be able to initiate a case themselves to find in a declaratory judgment that they have a right to use the given copy without any intrusion of the rightholder. In both cases, we can confirm that the doctrine of exhaustion represents a user right under EU law.

The situation is different in the US. The first-sale doctrine is expressly treated as an affirmative defense. As such, the doctrine might only be applied as a defense against the plaintiff's allegation of unlawful use. More precisely, following that the plaintiff successfully proved an infringement of its copyright (unauthorized distribution), the burden of proof will be on the defendant's side to evidence lawful acquisition and lawful resale.[83] In *Adobe Systems*, the court has precisely summarized this as follows:

> The rule is no different for the first sale defense. Under § 109(a), the party asserting the first sale defense bears the initial burden of satisfying the statutory requirements. Thus, that party must show ownership through lawful acquisition.[84]

[82] *Pelham GmbH and Others v. Ralf Hütter and Florian Schneider-Esleben*, Case C-476/17, ECLI:EU:C:2019:624, para. 28.

[83] H.R. Rep. (1976) 80–81; *United States v. Goss*, 803 F.2d 638 (1986) 644–646; *Timothy S. Vernor v. Autodesk, Inc.*, 621 F.3d 1102 (2010) 1107. Compare to Billah (2018) 141. Nevertheless, there are some rulings that speak against such conclusion. Compare to Lavin et al. (2019) 1136, note 296.

[84] *Adobe Systems Inc. v. Stargate Software Inc.*, 216 F.Supp.2d 1051 (2002) 1079.

Such affirmative defense status of the first-sale doctrine has indirect negative consequences for the users. Undoubtedly, the first-sale doctrine gives standing and a "user right feeling" for lawful owners, but the exercise or enforcement of this limitation requires a lengthy and costly procedure. Importantly, the Canadian Supreme Court has followed a different path in this respect again. In its seminal ruling in *CCH Canadian Ltd. v. Law Society of Upper Canada*, the Canadian Supreme Court declared the country's fair dealing rules as "user's rights." As such, the judges found fair dealing "an integral part of the Copyright Act rather than simply a defence."[85]

1.5 The Doctrine of Exhaustion under International Copyright Law

The doctrine of exhaustion was developed originally at the state level, in a period at the end of the nineteenth and beginning of the twentieth centuries that was famous for protectionist national economies. (This was equally true for the newly born Germany and the still developing United States of America.) Unsurprisingly, for a long time, there was no interest – particularly at the international level – in further developing the doctrine, as this would have inevitably required surrendering many protectionist solutions. Indeed, different countries regulated the scope (including the limitations) of economic rights in considerably different ways. For example, some countries didn't even acknowledge the right of distribution as an independent economic right and consequently the doctrine of exhaustion was not regulated at all. Other countries' copyright regimes included a distinct distribution right, but it only extended to the domestic transfers (and resales) of copies. Finally, some other countries did not impose any restrictions on the importation of copies lawfully produced abroad. In sum, the scope of exhaustion could vary between national, regional, or international models[86] depending on whether a country predominantly exported or imported cultural goods.

The first international copyright treaties say nothing on distribution or mention it only superficially.[87] The international conventions that

[85] *CCH Canadian Ltd. v. Law Society of Upper Canada*, 2004 SCC 13, para. 48. Compare to Craig (2005) 437–461.

[86] On these three competing models, see UNCTAD-ICTSD (2005) 93–94; Correa (2007) 79; Abbott (2007) 5; Bonadio (2011) 154–155.

[87] Compare with *BC* Art. 13(3), 14(1)(i) and 16(2). Some have argued that the right of reproduction necessarily implies the existence of the right of distribution. Nevertheless, this notion is not broadly accepted. On the theory of "implied right of (first) distribution," see Ficsor (2014a) 5–7, especially note 5.

include some relevant wording on our topic are the Trade-Related Aspects of Intellectual Property Rights (TRIPS) Agreement and the WIPO Internet Treaties (WCT/WPPT).[88] Their rules are far from uniform and leave notable space for signatories to regulate the scope of exhaustion domestically.

1.5.1 TRIPS Agreement (1994)

The TRIPS Agreement, adopted in 1994, was the first international agreement on intellectual property that touched upon the copyright aspects of exhaustion.[89]

The original preparatory document of 1991 (the Chairman's Text) still stood for the introduction of a general right of distribution and the doctrine of exhaustion.[90] These plans ultimately failed, after lengthy negotiations,[91] as the contracting parties failed to reach a compromise on an independent right of distribution.[92] Until 1994, only a limited number of countries had a settled regulation and/or case law on the doctrine of exhaustion. These domestic solutions also showed significant differences. On the one hand, most developed countries with large economic potential, strong domestic markets, and the capacity to export cultural goods (such as the US[93] or Germany)[94] were interested in national exhaustion. National exhaustion is followed by significantly different countries as well. India, one of the greatest global markets, as well as smaller ASEAN countries, e.g., Singapore, Brunei, or Cambodia, apply a national exhaustion doctrine.[95] On the other hand, countries that relied heavily on the importation of cultural goods, such as the Netherlands,[96] Switzerland,[97] Japan,[98]

[88] Goldstein and Hugenholtz (2010) 304–305; Blomqvist (2014) 119–126.
[89] The first international treaty that regulated exhaustion was the Treaty on Intellectual Property in Respect of Integrated Circuits of May 26, 1989, Art. 6(5).
[90] Ficsor (2002) 153–154.
[91] UNCTAD-ICTSD (2005) 97–104.
[92] Reinbothe and von Lewinski (2002) 80; UNCTAD-ICTSD (2005) 94–109.
[93] Compare to Chapter 3.
[94] Reimer (1982) 364.
[95] Ghosh and Calboli (2018) 127–136.
[96] Compare to Section 2.1.1.
[97] Knopf (2001) 113–122. The Swiss Federal Supreme Court noted that national exhaustion prevailed with respect to audiovisual works between August 1, 2002, and April 1, 2004, as the domestic copyright Act allowed for the application of the doctrine if the copies were originally put into circulation within the Swiss Federation. See: Schweizerisches Bundesgericht 1.3.2007 (4C.384/2006) 70–72. The current and effective rules limit the application of exhaustion on audiovisual works in terms of time. Under Art. 12(1^{bis}) of the Swiss Copyright Act, the resale or rental of copies of audiovisual works is forbidden as long as the rightholder exercises his or her public performance rights in movie theaters. For further examples, see Pope (2011) 218–219.
[98] During the period of the negotiations of the TRIPS Agreement, the courts of Japan ruled expressly against international exhaustion. In a 1994 judgment of the Tokyo District

Australia,[99] and New Zealand,[100] as well as countries with developing and small markets, were more interested in international exhaustion.[101] China, which poses strict (political) limitations on importation and, at the same time, has a far-reaching market, has also introduced norms that tend to have an exhaustion doctrine with international effect.[102] Similarly to these countries, copyright exhaustion had an international reach in the United Kingdom before the EEC/EU level of harmonization.[103] Finally, the EU adopted two directives before 1994 that were based on the concept of regional exhaustion.[104] Vincent Chiappetta described the futile preparation and the results of the TRIPS Agreement, observing that contracting parties "agreed to disagree" on the content of exhaustion.[105]

Not surprisingly, the final text of the TRIPS Agreement turned out to be the best compromise for the signatories and, more importantly, did not introduce any new substantive obligations. Instead, it granted absolute freedom for the signatories regarding the issue of regulation,

Court, the importation of 1,000 copies of the movie *101 Dalmatians* was found to be illegal, mainly since the movie was not yet officially released in Japan. See Donnelly (1997) 485. Later, the Japanese Copyright Act codified international exhaustion in 1999, with the sole exception of audiovisual works. See LaFrance (2009) 162. Shortly thereafter, the Japanese Supreme Court expanded the scope of international exhaustion to audiovisual works as well. See Doi (2002) N147–148.

[99] Pope (2011) 220–222; Ghosh and Calboli (2018) 124–125.

[100] Verma (1998) 562–565; Cohen Jehoram (1999) 509; Abbott (2000) 7; Knopf (2001) 113-30–113-31; Longdin (2001) 112-4–112-9; LaFrance (2009) 163–167; Mueller-Langer (2014) 294; Frankel and Gervais (2016) 102–104; Ghosh and Calboli (2018) 125–126. For a long time, international exhaustion did not cover literary works in Australia. Indeed, expanding the reach of the doctrine to cover this subject matter is still heavily contested by authors of literary works. See Harmon and Clark (2016).

[101] "The developing countries, who were quite understandably sceptical about signing TRIPS, were certainly not about to be forbidden from allowing for international exhaustion." See Knopf (2001) 113–117. See further Cohen Jehoram (1999) 507, 509; Yu (2012) 225–226. Frankel and Gervais noted that "parallel importation is a calibration device to create competition in small markets [e.g., Israel, New Zealand, and Singapore] where otherwise size often dictates a small number of players." See Frankel and Gervais (2016) 102. As a rare exception, South American countries mainly accept a national exhaustion doctrine. Carlos and Juan Correa summarized that "[s]ome [Latin American] countries incorporated that principle for some categories of intellectual property rights and not for others. While international exhaustion has been adopted in many patent and trademark laws, national exhaustion prevails in the area of copyright. The rationale for this differentiation is unclear." See Correa and Correa (2016) 213–214. As a rare exception, courts in India have permanently refused to accept international exhaustion. See Gomber (2017) 263–267.

[102] Ghosh and Calboli (2018) 126–127. [103] Mysoor (2018) 669.

[104] Compare to Section 2.2.4.

[105] Chiappetta (2000) 333–392. On the conflict of developed and developing countries over parallel imports during the debates of the TRIPS Agreement and in the post-TRIPS period, see further Chiappetta (2016) 129–133.

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"whether enacted by statute, articulated in judicial opinions, or formulated in agency regulations or rules,"[106] and whether the regulation should have a national, regional, or international reach. The TRIPS Agreement approached the doctrine from a neutral perspective, stressing that "[f]or the purposes of dispute settlement under this Agreement, subject to the provisions of Articles 3 and 4 nothing in this Agreement shall be used to address the issue of the exhaustion of intellectual property rights."[107]

This dubious phrasing means that signatories are bound by the principle of national treatment and the most-favored-nation treatment when designating the reach of exhaustion. Disputes stemming from the domestic regulations shall not, however, be subject to a dispute settlement procedure under the World Trade Organization (WTO) law. In sum, no country can force other countries to provide for the exhaustion of the right of distribution with a broader and tighter territorial scope. These provisions do not, however, prevent injured parties from initiating proceedings before the domestic courts.[108]

Frederick Abbott highlighted, with respect to the opinion of Mr. Adrian Otten, then the Secretary to the Trade Negotiating Group during the Uruguay Round, that

> [t]he formula in Article 6, TRIPS Agreement, reflects a compromise between governments favoring an explicit recognition of national discretion in regard to exhaustion practices, including the choice of national or international exhaustion, and governments not wanting to provide such recognition although not seeking to regulate such practices specifically.[109]

Nevertheless, the TRIPS Agreement does include a few provisions that bear a resemblance to the doctrine of exhaustion. One relates to the right of rental, and at least two others to the importation of (pirated) goods.

Software, audio, and video rental began in Japan,[110] and subsequently became a multi-billion-dollar business in the US and EU. The TRIPS Agreement started with the tripartite negotiations of the US, Japan, and the EU. Since the US Congress excluded the application of the first-sale doctrine, in relation to the rental of audio recordings and computer programs by 1990,[111] and the EU harmonized the right of rental by 1992,[112] it

[106] Ghosh (2013) 3–4. [107] TRIPS Agreement Art. 6.
[108] Heath (1997) 628–629; Knopf (2001) 113–13; Slotboom (2003) 432–434; UNCTAD-ICTSD (2005) 104–108; Correa (2007) 78–79.
[109] Abbott (2000). See further Verma (1998) 552–562. [110] Horowitz (1988) 32.
[111] Compare to Section 3.3.3. [112] Compare to Section 2.2.4.

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is not surprising that the Agreement finally enabled the introduction of the right of rental by its signatories.[113]

The TRIPS Agreement also enabled the contracting parties to adopt regulation on temporary measures to prevent the import of such products that are in violation of the law.[114] This provision does not foreclose the application of regional or international exhaustion. Instead, it provides a "double force" for the benefit of countries that apply national exhaustion. This rule allows states to protect against the import of products that are considered illegal under their own rules, irrespective of whether the copies had been marketed lawfully in the source country. The TRIPS Agreement also prohibits the cross-border distribution of pirated products through the tools of customs law.[115]

1.5.2 The WIPO Internet Treaties (1996)

The two WIPO Internet Treaties of 1996 showed a clear progression of the norms of exhaustion.[116] For the first time in international copyright law, these treaties allowed for a general right of distribution. Article 6(2) of WCT notes:

> [n]othing in this Treaty shall affect the freedom of Contracting Parties to determine the conditions, if any, under which the exhaustion of the right [of distribution] applies after the first sale or other transfer of ownership of the original or a copy of the work with the authorization of the author.

Article 8(2) of WPPT contains essentially the same wording. According to the WPPT:

> [n]othing in this Treaty shall affect the freedom of Contracting Parties to determine the conditions, if any, under which the exhaustion of the right in paragraph (1) applies after the first sale or other transfer of ownership of the original or a copy of the fixed performance with the authorization of the performer.[117]

[113] TRIPS Agreement Art. 11. Compare to Yu (2014b) 1136–1137.
[114] TRIPS Agreement Art. 44(1).
[115] TRIPS Agreement Art. 51. On the practical application of customs law against pirated products, see Deutsch and Zimmerman (2014) 276–286; Schneider and Maillefer (2015) 262–268.
[116] Ficsor (2003) 202–203. Ficsor noted that there was a considerable, but fruitless discussion on whether the Internet Treaties should introduce the right of importation. See Ficsor (2014a) 9–14.
[117] On the fascinating history of WCT Art. 6 and the lengthy debates on exhaustion between developing and most developed nations, see Ficsor (2002) 210–211, 213–218, 226–230, 241–242, 245–246, 248–249; Reinbothe and von Lewinski (2002) 80–84; von Lewinski (2008) 452, para. 17.63.

Under the above terms, signatories of the WIPO Internet Treaties should comply with specific substantive provisions on exhaustion, while remaining free to develop their own regulations in other aspects.[118]

The WCT and WPPT allowed signatories to choose whether to introduce domestic, regional, or international exhaustion, as well as leaving open the option to leave the issue unregulated.[119] Additionally, the treaties required that the affected copies should be lawfully sold, or ownership over them should otherwise be transferred.[120] The expression "nothing in this Treaty shall affect" makes it clear that no further provisions of the treaty, including the three-step test,[121] create an obstacle for signatories to regulate on exhaustion.[122] In practice, it means that the freedom of lawful acquirers to dispose of the property of the copy is absolutely in accordance with the law. Resales do not, per se, conflict with the normal exploitation of the works, nor do they unreasonably prejudice the legitimate interests of the respective author.[123] The Agreed Statement attached to Article 6 of the WCT and Article 8 of the WPPT, makes it clear that "[a]s used in these Articles, the expressions 'copies' and 'original and copies,' being subject to the right of distribution and the right of rental under the said Articles, refer exclusively to fixed copies that can be put into circulation as tangible objects."

Considering that the preamble of the WCT[124] and the WPPT[125] requires international copyright law to be brought in line with the requirements of the Internet, it is asserted that the most important

[118] Sheinblatt (1998) 538–539; Walter and von Lewinski (2010) 998, 11.4.18.
[119] Reinbothe and von Lewinski (2002) 85. [120] Ibid., 86–87.
[121] WCT Art. 10; WPPT Art. 16. [122] Reinbothe and von Lewinski (2002) 87.
[123] Ibid.; von Lewinski (2008) 453, para. 17.65.
[124] "*The Contracting Parties, Desiring* to develop and maintain the protection of the rights of authors in their literary and artistic works in a manner as effective and uniform as possible, *Recognizing* the need to introduce new international rules and clarify the interpretation of certain existing rules in order to provide adequate solutions to the questions raised by new economic, social, cultural and technological developments, *Recognizing* the profound impact of the development and convergence of information and communication technologies on the creation and use of literary and artistic works, *Emphasizing* the outstanding significance of copyright protection as an incentive for literary and artistic creation, *Recognizing* the need to maintain a balance between the rights of authors and the larger public interest, particularly education, research and access to information, as reflected in the Berne Convention, *Have agreed* as follows […]."
[125] "*The Contracting Parties, Desiring* to develop and maintain the protection of the rights of performers and producers of phonograms in a manner as effective and uniform as possible, *Recognizing* the need to introduce new international rules in order to provide adequate solutions to the questions raised by economic, social, cultural and technological developments, *Recognizing* the profound impact of the development and convergence of information and communication technologies on the production and use of performances and phonograms, *Recognizing* the need to maintain a balance between the rights of performers and producers of phonograms and the larger public

element of exhaustion is the Agreed Statement's emphasis on the "ability to put into circulation as tangible objects." Some academics would disagree,[126] yet J. A. L. Sterling has plausibly opined that "the dispute whether the right of distribution also involves circulation of works in an electronic way is decided. The Treaty only applies to 'hard copies' so for example books, discs, cassettes."[127]

The Internet has become a quintessential part of daily human existence for the vast majority of people, prompting complicated legal questions, such as whether and how copyright law needs to adapt to this change in society. This debate is epitomized in the WIPO Internet Treaties, where deciding on the exact form of protection for rightholders regarding online uses was arduous. The US suggested that the right of distribution should be expanded to the Internet, while this was met with fierce opposition from another group of countries, led by the EU, who argued for the application of the right of communication to public. However, the honest answer is that neither of these rights are capable of handling "on-demand" uses perfectly.[128]

Mihály Ficsor Senior, the then Assistant Director General of the WIPO, explained:

> [b]etween the two opposing alternatives – that is, between basing the international regulation on interpretation and, as a maximum, on slight modification, of existing rights, on the one hand, and introducing a new on-demand transmission/delivery right, on the other – a third compromise alternative would also be possible (and, actually, would seem, for the time being, to have the best chance to get a sufficient general acceptance). This could consist of an umbrella provision under which it would be an obligation to grant an exclusive right or exclusive rights to authorize either any use of works and other protected productions – with some possible reasonable exceptions – through ondemand transmission/delivery, or to authorize certain acts – described in such a neutral way (that is, without involving any specific legal characterization) as possible – carried out in the case of such transmission/delivery, but the legal characterization of the right or rights granted (whether it results in the combination – and possible extension – of existing rights, and/or in a new specific right) would be left to national legislation.[129]

interest, particularly education, research and access to information, *Have agreed* as follows […]."

126 Rigamonti (2009) 20–21; Ruffler (2011) 380–381. These opinions are discussed in detail in IV.3.3.

127 Sterling (1998) 566.

128 Distribution traditionally involves the sale of physical/tangible copies. Communication to the public generally covers simultaneous transmissions from one place to multiple places by wire or wireless means, e.g., broadcasting, cable services, satellite transmission.

129 Ficsor (2002) 205–206. On the long and winding road of the idea of the umbrella solution, see ibid., 145–254. See further de Beer and Burri (2014) 95–98.

This third option was finally adopted, and parties to the WCT/WPPT regulated the new economic right for both authors and neighboring rightholders with this compromise in mind.[130]

Although this right was formulated in a technology-neutral way, it was clearly designed to cover all on-demand transmissions of data via the Internet. This right is applicable where the copyrighted subject matter is made accessible to every member of the public (i.e., having an Internet connection) and where members of the public may access these works from a place and at a time individually chosen by them. Consequently, predetermined programs, including webcasting, pay-per-use, pay-tv, or pay-radio services, are excluded from the scope of this right. Such programs should be covered by other rights, especially communication to the public or performance rights.[131] Logically, the right of distribution should apply for the sale of tangible copies (like CDs) via the Internet.

This categorization of online uses will have significant ramifications for the fate of the doctrine of exhaustion in the digital environment.

1.5.3 The Marrakesh VIP Treaty (2013)

A third "Internet treaty" was accepted by the members of the WIPO in 2012, namely, the Beijing Treaty on Audiovisual Performances. Article 8 (2) and Agreed Statement 7 of the treaty include the same language related to the right of distribution and the doctrine of exhaustion. As such, it did not affect the already existing doctrinal basis of exhaustion at all.

To the contrary, the WIPO's most recent international treaty, focusing on the beneficial access to selected cultural goods by blind, visually impaired, or otherwise print-disabled people, made it indirectly possible to extend the scope of the doctrine of exhaustion, even if only in a limited and targeted way.

Article 5(1) of the Marrakesh VIP Treaty says that

> Contracting Parties shall provide that if an accessible format copy is made under a limitation or exception or pursuant to operation of law, that accessible format copy may be distributed or made available by an authorized entity to a beneficiary person or an authorized entity in another Contracting Party.

Article 6 allows for the unauthorized importation of accessible format copies by beneficiary persons, their agents or authorized entities. Article 10(2) further states that "[n]othing shall prevent Contracting Parties

[130] WCT Art. 8; WPPT Arts. 10 and 14. Compare to Ficsor (2002) 249–250.
[131] von Lewinski (2008) 457, para. 17.76.

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from determining the appropriate method of implementing the provisions of this Treaty within their own legal system and practice."

By these new rules, the WIPO has allowed that the signatories introduce a limited and targeted international (a "treaty country-wide")[132] exhaustion to comply with the treaty provisions.

First, let us begin with the note that – in compliance with our findings above – exhaustion is a special limitation of the right of distribution. As such, it can fit into the limitations or exceptions mentioned in Article 5(1) of the treaty; and since signatories are free to select the applicable tool to comply with the treaty obligations per Article 10(2), exhaustion remains a candidate to cover (at least some) relevant activities under the treaty.

Second, the limited and targeted nature of exhaustion under the treaty might be visible from the purpose of the treaty itself. It only benefits a limited group of people. Indeed, and more precisely, the actual benefit of distribution is granted to entities that are authorized to support only visually impaired people in accessing cultural goods, including the exportation and importation of accessible format copies to other authorized entities. As such, the Marrakesh VIP Treaty will not affect the fate of copyright exhaustion. The treaty will only tailor it to the needs of a specific scenario.

Third, the selected domestic limitations and exceptions, per Agreed Statement 5 of the treaty, are subject to the three-step test. This note might complicate the application of exhaustion in a Marrakesh scenario, as exhaustion is per se not subject to the three-step test. In fact, Agreed Statement 5 seems to exclude exhaustion from the available repertoire for signatories. This is, however, not necessarily true, as exhaustion applies as a limitation of the distribution right regarding further transfers of ownership. The Marrakesh VIP Treaty might necessitate the application of the three-step test, and hence may be the remuneration of rights holders for the use of their works for the benefit of visually impaired people in general, but the subsequent exportation or importation of lawfully published/distributed accessible format copies needs no further remuneration. In light of this, we shall agree with Marketa Trimble, who concluded that exhaustion should remain only an optional tool for the signatories to comply with the treaty.[133]

Fourth, as Agreed Statement 6 attached to Article 5(1) of the treaty noted: "[i]t is further understood that nothing in this Treaty reduces or extends the scope of exclusive rights under any other treaty." As such, no

[132] Trimble (2016) 466. [133] Ibid., 461.

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elements of the international status quo are affected by the Marrakesh VIP Treaty. This is similarly mirrored by Article 5(4)(c) of the treaty, which clarified that "nothing in this Article affects the determination of what constitutes an act of distribution or an act of making available to the public."

Fifth, Article 5(5) added that "[n]othing in this Treaty shall be used to address the issue of exhaustion of rights." This language resembles the TRIPS Agreement, with at least one significant difference: it skips the reference to dispute settlement procedures. Notwithstanding this, while the treaty itself privileges the actual distribution of accessible format copies, it does not oblige signatories of the treaty to change their policies and rules regarding the doctrine of exhaustion in general. In short, signatories have no other obligation than guaranteeing the free flow of copies in accessible formats, if they are willing to stick to a national or a regional exhaustion policy.

This latter point might be directly relevant for the EU as well. The new treaty was not only signed by many (although not all) Member States of the EU in 2013 and 2014, but also by the EU itself in 2014. The Member States, however, disagreed whether the EU had any competence to conclude such a treaty and hence the ECJ was requested to provide an opinion on the matter.[134] In its Opinion 3/15, the ECJ opined that the conclusion of the Marrakesh VIP Treaty was within the exclusive competence of the EU.[135] Consequently, several Member States – including the home country, Hungary, of this author – did not sign and ratify the treaty at all, but they are directly bound by the EU's respective regulation[136] and directive.[137] The regulation, in compliance with Article 5 of the Marrakesh Treaty, guarantees the free exportation and importation of accessible format copies between the EU and other countries. As such, the scope of the EU's regional exhaustion doctrine is restricted by the targeted and limited rules for the benefit of visually impaired people.

134 Verellen (2017).

135 Opinion 3/15 of the Court, ECLI:EU:C:2017:114. Compare to Acquah (2017) 548–550; Arena (2018) 770–779.

136 Regulation (EU) 2017/1563 of the European Parliament and of the Council of 13 September 2017 on the cross-border exchange between the Union and other countries of accessible format copies of certain works and other subject matter protected by copyright and related rights for the benefit of persons who are blind, visually impaired, or otherwise print-disabled.

137 Directive (EU) 2017/1564 of the European Parliament and of the Council of 13 September 2017 on certain permitted uses of certain works and other subject matter protected by copyright and related rights for the benefit of persons who are blind, visually impaired, or otherwise print-disabled and amending Directive 2001/29/EC on the harmonisation of certain aspects of copyright and related rights in the information society.

1.6 National, Regional, and International Exhaustion

International copyright norms left it for the individual countries to decide whether and how they want to regulate the right of distribution and to decide what limitations to impose. National exhaustion has been acknowledged worldwide as an undisputed legal doctrine, or, so to say, the minimum scope of the concept. It is more challenging to see how countries react to a global economy, and how they wish to manage parallel importation. As Frederick M. Abbott noted: "[C]ountries need not limit their exhaustion policies to the national territory. They may provide that exhaustion also occurs when a good or service is lawfully placed on the market outside the national territory."[138]

The term "parallel importation" refers to the case when products that have been lawfully produced and/or put in circulation in one country with the authorization of the rightholder enter the territory of another country without the expressed consent of the rightholder.[139] The term "gray market" describes this scenario well. Since the relevant copies are lawfully distributed, they are not part of the black market. They are, however, imported without authorization so can hardly be described as completely "white."

The importance of parallel importation is found in its economic significance. Herman Cohen Jehoram summarized it in the following terms:

> [P]arallel import occurs when authentic – not counterfeited – products are imported cheaply, without the consent of the producer who has a trade mark, copyright, patent or other intellectual property right in these products, with the aim to compete with the producer's own products, which he himself had originally marketed abroad at a lower price.[140]

Consequently, the reaction of national legislation on the arbitrage with gray market goods is closely associated with that country's economic goals.

The most important argument in favor of parallel imports derives from the reward theory. Carlos Correa noted:

> The underlying concept for allowing parallel imports is, in sum, that since the IPR holder would be normally rewarded through the first sale or distribution of

[138] Abbott (2007) 4–5. On the doctrine's international trade aspects see further in great detail: Ghosh and Calboli (2018) 41–64.

[139] Compare to Donohue (1986) 183–184; Congdon (1989) 597; Miller (1995) 479–480; Heath (1997) 623; Verma (1998) 543–546; Roa (1999) 228–229; Laddie et al. (2000) 1533; Pope (2011) 205–206; Alvarado (2012) 891–892; Goldberg (2012) 3066–3088; Katz (2014) 74–75; Mueller-Langer (2014) 287.

[140] Cohen Jehoram (1999) 495.

the product, he has no right to control the use or resale of goods put on the market with his consent, or in a way that allowed him to obtain compensation.[141]

Gray market goods increase competition because they are financially advantageous for consumers. Kaitlyn Amundsen highlighted that countries might enjoy significant advantages of parallel imports. She demonstrated that the value of the products imported into the US, in 2011, reached 2.67 trillion USD, and the value of goods acquired through used markets exceeded 900 billion USD.[142] These two numbers clearly mirror the high demand for used copies, even in the most developed countries. A ban on parallel importation would result in substantial damages for countless stakeholders. Libraries, for example, rely on gray market goods, as smaller purchase prices allow them to acquire more copies, which, in turn, allows them to lend works to a higher number of patrons.[143] After all, parallel import and international exhaustion increases international competition and access to cheaper goods and satisfies consumers' needs efficiently. This is especially valuable for developing countries.[144]

Conversely, the exclusion of parallel imports might have weighty advantages, such as strengthening the market positions of rightholders[145] or developing price discriminations.[146] A diverse price strategy might be explained by the variable willingness to advertise, as goods that enter a new and competitive market might require more ads. The business models used for distribution are also relevant. For example, distribution directly, through agents or within a franchise system, could have consequences on the pricing of goods. The quality of sources/raw materials used to produce the copies is also an important factor.[147] Additionally, tax laws also vary from country to country. For example, the US does not

141 Correa (2007) 86.
142 Amundsen (2012) 354–355.
143 Aldridge (2011) 339–340.
144 Bonadio (2011) 155; Frankel and Gervais (2016) 87–88.
145 On the definition of market power, see Meurer (2001) 82–83.
146 On the definition of price discrimination, see ibid., 67–80; Lunney (2008) 394–404; Hovenkamp (2011) 532–538; Rub (2015) 766–767. On the economic significance of price discrimination, see further Cozine (1998) 778–779; Richelieu (2000) 828; Meurer (2001) 140–147; Lunney (2008) 404–456; Goldstein and Hugenholtz (2010) 305; Aldridge (2011) 327–334; Collins (2012) 30–32; Yu (2012) 206–207; Frankel and Gervais (2016) 87.
147 This was the issue in *Kirtsaeng*, where John Wiley & Sons published the Asian version of the textbook on paper that was inferior to the North American version. As the Second Circuit stressed: "[w]hile the written content of books for the domestic and international markets is often similar or identical, books intended for international markets can differ from the domestic version in design, supplemental content (such as accompanying CD–ROMS), and the type and quality of materials used for printing, including 'thinner paper and different bindings, different cover and jacket designs, fewer internal ink colors, if any, [and] lower quality photographs and graphics.'" See *John Wiley & Sons, Inc. v. Kirtsaeng*, 654 F.3d 210 (2011) 213.

apply any unified federal sales tax, whereas the level of VAT shows marked (10–20 percent) differences between EU Member States. Wages, and the related social security contributions, similarly affect the unit costs of the copies. James P. Donohue noted that

> authorized U.S. distributors contend that the price differential is explained by the following factors: (1) international currency fluctuations vis-a-vis the currently strong U.S. dollar; (2) because the "market" for the goods is established by authorized distributors, gray market dealers have little, if any, promotional expense associated with their operations, and hence get a "free ride" on the efforts of the authorized distributors; (3) little, if any, after-sale servicing or warranty protection is offered by the gray market dealers; (4) authorized dealers often must carry full product line inventory and pay the associated costs of adequately servicing the line; and (5) authorized U.S. distributors face higher costs from foreign manufacturers for services offered to domestic consumers.[148]

Price discrimination might be advantageous for both rightholders and society, since international price discrimination increases production and decreases unit prices. It allows rightholders to differentiate between countries (developing versus developed), and target groups (private individuals versus profit-oriented corporations). Such discrimination is beneficial for consumers, as the purchase price of the copies is set in accordance with their purchasing power.[149] Pricing strategies might also generate higher profit on the rightholders' side, which, in turn, might serve as a basis for further investment.

Nonetheless, price discrimination inherently has shortcomings. Weaker-quality products, incompatibility with standards, or the lack of warranty might mislead customers. This can lead to a loss of prestige or even economic loss.[150] Furthermore, Frederick Abbott has argued that "[n]o persuasive evidence has been presented that returns on investment in the copyright-dependent industries (audio-visual, software, etc.) are or will be inadequate to allow future investments in creative expression."[151] Finally, there is a clear risk that rightholders might become unwilling to sell their products for a cheaper price in developing countries, if those very same copies can be freely imported to developed countries.[152]

"Brexit," the withdrawal of the UK from the EU (and the European Atomic Energy Community), provides a unique example of how

[148] Donohue (1986) 184 (footnotes omitted).
[149] Ghosh (2013) 10; Puig (2013) 168–169; Katz (2014) 77–78; Rub (2015) 770–773. On the advantages of price discrimination for consumers, see further Barfield and Groombridge (1998) 903–949 Abbott (2000) 17–18; Laddie et al. (2000) 1535–1536; Bonadio (2011) 156–158.
[150] Weicher (1989) 475–477; Mueller-Langer (2014) 287.
[151] Abbott (2000) 21.
[152] This argument has been discussed and criticized at UNCTAD-ICTSD (2005) 117.

countries might switch between the three types of exhaustion. The UK used to apply an international exhaustion regime before joining the EEC,[153] and applied the EEC/EU's regional exhaustion after that. After the end of the transitional period, from January 1, 2021, onward, the UK, however, will cease being a member of the internal market. The final "Brexit Agreement,"[154] similarly to the other recent trade agreements of the EU, stipulated that the Parties to the Agreement shall keep their freedom to "determine whether and under what conditions the exhaustion of intellectual property rights applies."[155] Consequently, the EU will not give up its regional exhaustion doctrine, and the British exports to the EU Member States will be subject to authorization. The agreement leaves intact the UK's freedom to choose from the three alternative models of exhaustion. Ultimately, importation from the EU to the UK will face no obstacles.[156] In essence, the UKIPO's official statements seem to clarify the return to an international exhaustion regime under UK IP (including copyright) law, with an exception regarding trade to and from the EU. The EU–UK trade relations in the field of IP law (including copyright law) is currently based on an "asymmetric regional exhaustion" regime.[157] At the same time, this model might only last for a temporary period, as the UK Government plans to launch a public consultation on the UK exhaustion system in 2021.[158]

Another notable issue is the fate of *droit de suite* in the UK. The country was not a clear supporter of this concept, to say the least. Nevertheless, and against some expectations,[159] the UK expressed its willingness to keep the *droit de suite* as required by the Berne Convention in the Political Declaration relating to Brexit, launched in October 2019.[160] The resale right will reciprocally apply to those authors who are nationals of countries that implemented the respective rule of the Berne Convention.[161] The Brexit Agreement nevertheless provides sensible flexibilities to the UK. There is no obligation to keep the EU *acquis* in its entirety. Elements of the system, e.g., the thresholds and royalty rates, might be changed at a later stage.[162]

[153] Mysoor (2018) 669.
[154] Trade and Cooperation Agreement Between the European Union and the European Atomic Energy Community, of the One Part, and the United Kingdom of Great Britain and Northern Ireland, of the Other Part, OJ L 444, 31.12.2020 ("Brexit Agreement").
[155] Brexit Agreement, Article IP.5.
[156] Compare to UKIPO (2020a). See further Rosati (2019) 63–64; Ahrens (2020) 390–391.
[157] Stephens (2020). [158] Lee (2021) 326. [159] Rub (2019) 664.
[160] Capon (2021).
[161] Compare to UKIPO (2020b) and Brexit Agreement, Article IP.13.
[162] Stokes (2021) 96.